PART 9 — BUSINESS RECOMMENDATIONS

ShopSmart Retail Analytics | AnalystLab Africa Experience Lab Internship Programme

1. Key Findings

The analysis of ShopSmart Retail Ltd's sales and inventory data revealed three important findings.

Finding 1: Beauty is a leading revenue category. The Beauty category generated the highest reported revenue of ₦1,784,161,275, making it an important contributor to the company's sales performance. However, it also recorded the highest number of returned orders, at 600, indicating a need to investigate customer satisfaction and product quality.

Finding 2: Sales performance varies across stores and regions. ShopSmart Lagos was identified as the best-performing store, while the South region recorded the highest reported regional revenue. Understanding the factors behind this performance could help management improve sales across other locations.

Finding 3: Some stores may require inventory attention. ShopSmart Enugu, ShopSmart Kano, and ShopSmart Awka were identified in the low-inventory analysis, with figures of 3,349, 4,708, and 7,853 respectively. These stores should be assessed against their reorder levels and sales demand to determine whether stock replenishment is necessary.

2. Business Recommendations

Recommendation 1: Improve product quality and return management. Management should investigate the reasons for returns in the Beauty category, identify frequently returned products, and address issues relating to product quality, packaging, and customer expectations. This could reduce avoidable returns and improve customer satisfaction.

Recommendation 2: Strengthen inventory management. ShopSmart should regularly monitor stock levels, reorder points, and sales trends across all stores. Stores with stock shortages should receive timely replenishment, while inventory allocation should be based on demand to reduce lost sales and excess stock.

Recommendation 3: Replicate successful sales strategies. Management should examine the practices contributing to the strong performance of ShopSmart Lagos and the South region. Effective promotional campaigns, product availability, and customer engagement strategies could be adapted for lower-performing stores and regions.

3. Risk Identified

Inventory shortages and product returns: Insufficient stock can lead to lost sales and dissatisfied customers, while frequent product returns can reduce profitability and damage customer confidence. Failure to address these issues could affect ShopSmart's revenue and long-term customer relationships.

4. Opportunity Identified

Growth through the Beauty category: The Beauty category presents an opportunity for further growth because of its strong reported revenue performance. By identifying its most profitable products, improving product quality, reducing returns, and maintaining adequate stock, ShopSmart can strengthen sales and improve customer satisfaction.

Conclusion

ShopSmart should prioritise effective inventory management, improved return handling, and the adoption of successful sales strategies across its stores. These actions can help the company protect revenue, improve customer satisfaction, and identify opportunities for sustainable business growth.